



Monthly Pricing at Ziprecruiter.com

Jean-Pierre Dubé & Sanjog Misra, © 2018

 **ZipRecruiter**® for enterprise

Background

In August 2015, Ziprecruiter.com was the fastest-growing HR company in the United States. Its digital recruiting platform matched recruiters with prospective employees. Job applicants could upload their resumés and apply for jobs for free. Applicants could do this online or using the Ziprecruiter mobile App. Ziprecruiter generated revenues through its business customers, which spanned a wide array of industries and company sizes. Businesses typically paid a monthly fee to gain access to the resumés of qualified applicants. A data-driven algorithm on the platform produced qualified matches between applicants and job postings. In a typical month, over 40,000 registered paying companies posted jobs on the platform, of which over 10,000 were new companies.

Ziprecruiter's largest business segment consisted of "starter" firms, small companies with fewer than 5 employees. This segment represented nearly 50% of its business customer base. Encouraged by its growth, in early 2015, Ziprecruiter raised its base monthly price in the starter segment to \$99 per month. As both the customer base and revenues continued to grow, Ziprecruiter took more interest in its pricing.

In early August, 2015, the Ziprecruiter management team met with two marketing professors from the University of Chicago Booth School of Business, Jean-Pierre Dubé and Sanjog Misra, to discuss pricing. Of specific interest was the topic of price optimization and the use of customer data for potential targeting purposes.

Since the firm rarely varied its prices, it was not possible to use its internal databases for the purposes of demand measurement. So, in collaboration with Dubé and Misra, a price experiment was designed and implemented to study pricing opportunities in the starter segment.

A Pricing Field Experiment

The experiment focused exclusively on new businesses in the *starter* segment that were reaching Ziprecruiter's paywall for the first time. In order to obtain a price quote from Ziprecruiter, a firm must first register for Ziprecruiter's services by navigating a series of pages on the ziprecruiter.com website until it reaches the paywall. At the paywall, the new firm is issued a price quote. It must then use a credit card to pay the subscription fee in order to gain access to Ziprecruiter's services and network of applicants and resumes.

The experiment was conducted between August 28, 2015 and September 29, 2015. During this period, 7,867 unique prospective starter customers reached Ziprecruiter's paywall. Each prospective customer was randomly assigned to one of ten experimental pricing cells. The experimental design included a *control* cell with Ziprecruiter's standard \$99 monthly rate. Exhibit 1 contains the results from the experiment. Column one contains the 10 different pricing cells. Column two contains the total number of starter firms that were randomly assigned to each pricing cell. Column three contains the fraction of firms in that cell that submitted credit card information and paid for one month of service.

Optimized Pricing Task

Using the data from the August 2015 experiment, suppose you are tasked with making a price recommendation for starter firms to Ziprecruiter's CMO. Since the CMO will need to obtain approval for any price change the CFO, you will need to support your recommendation with profit implications.

Use the data summarized in Exhibit 1 to assess Ziprecruiter's current price of \$99 per month. Assume that the marginal cost per customer is close to \$0. In other words, supplying recruiting services to an additional business customer is very close to \$0 since the process is almost entirely digitized and automated. Based on the data, would you advise Ziprecruiter to continue charging \$99? If not, which price would you recommend instead? Why?

Hint: See if you can use the data to plot the demand curve for Ziprecruiter in a graph using Excel. See if you can use the "decision-making" framework we just discussed to make an optimized pricing decision.

Experimental Cells	Price Charged	# paying firms	Total Sample	Conversion Rate
Test 1	\$19	286	794	0.36
Test 2	\$39	260	813	0.32
Test 3	\$59	214	793	0.27
Test 4	\$79	246	848	0.29
Control	\$99	192	800	0.24
Test 5	\$159	153	765	0.20
Test 6	\$199	140	778	0.18
Test 7	\$249	127	747	0.17
Test 8	\$299	99	762	0.13
Test 9	\$399	80	727	0.11

Exhibit 1: Results of August 2015 Pricing Experiment.

("Conversion Rate" measures the proportion of firms in each experimental cell that paid for at least one month of service.)